

Dame Meg Hillier MP

Chair of the Treasury Committee

Via email: [treascom@parliament.uk](mailto:treascom@parliament.uk)

26 February 2025

Dear Dame Meg,

**The Impact of IT failures**

Thank you for your letter of 10 February following reports of IT failures at Barclays.

As a mutual, Nationwide's services are designed around the needs of our members and customers. We offer a genuine choice in how customers bank with us, which is why we now have the largest single brand network of branches across the UK as well as reliable telephone and digital channels.

In our experience, customers still value face to face support through branches as well as the convenience of digital banking. In the 12 months to September 2024, around 5.5million of our customers used a branch at least once compared to 3.3 million customers who used only digital channels, and 1.6 million customers who only use our branches.

To continue to serve all our customers we are adding new features to our banking app as well as protecting branches so that customers can speak with someone face to face, including when things go wrong. We have extended our Branch Promise so that everywhere we have a branch, we promise we'll still be there until at least the start of 2028. These are some of the reasons why we have been rated the UK's best high street banking provider for customer satisfaction in the building society and banking sector, by the UK Institute of Customer Service.

The data we have provided below refers to outages that were reportable pursuant to Reg 99 of the Payment Services Regulations 2017 (PSDR 99), taking account of the associated requirements in the FCA's Supervision Handbook (SUP15.14) and the EBA Guidelines. These Guidelines set out criteria for major incidents and we publish the number of incidents on our website every quarter.

1. Since the start of 2023 Nationwide has had a total of 18 incidents with a total duration of 70 hours 26 minutes.

**Table 1: Overview of when Nationwide services have been unavailable to customers due to IT failure by year (1 January 2023 - 31 January 2025).**

| PSDR 99 reportable incidents                      | 2023 | 2024 | 2025<br>(Jan only) |
|---------------------------------------------------|------|------|--------------------|
| Number of incidents                               | 7    | 11   | 0                  |
| Outage (minutes) for PSDR 99 reportable incidents | 1577 | 2649 | 0                  |

Full detail of each incident providing details of channels affected is provided in appendix 1.

2. While we cannot record the number of individual customers impacted by the above outages, we can say that across these 18 incidents, 1.99 million payment transactions were affected. During an incident we track the number of affected transactions, such as queued payments. As a customer may attempt multiple transactions, and in various channels, the total number of customers impacted is much less than the total number of payment transactions. To provide additional context, we execute around 4 billion inbound and outbound payments a year through all channels, this means that IT incidents have affected approximately 0.03% of all transactions over the two-year period.

During incidents, we deploy contingency measures as necessary to support customers to minimise the individual impact of any loss in service. Steps we take include:

- A 'notify me' process where customers will receive texts to let them know when the incident is over as well as important account information, such as a low balance alert, to make sure they stay informed.
- An emergency cash process where customers can request immediate funding to help manage any difficulties.
- Ensuring a payments queue will be processed so customers don't need to resubmit.
- Allowing Visa to directly process card payments for our customers in the event of Nationwide issues.
- Having an online chat available 24/7.
- Updating our website and app with banners to inform customers.

We also consider keeping branches and contact centres open for longer if the incident is sustained. This is not something we often implement though due to the speed with which we are able to gain resolution.

3. Nationwide has paid a total of £77,452 in compensation due to IT failures over the last two years as a result of these incidents. This is a combination of refunding any charges incurred/loss or distress and inconvenience.
4. IT failures have been caused by technical faults in hardware or software within Nationwide or one of our Third Parties, or as a result of an IT outage following a planned upgrade or change to Nationwide systems. A detailed breakdown of each incident is provided in appendix 1.

Yours sincerely,



**Debbie Crosbie**

Chief Executive Officer

### Appendix 1: Detailed breakdown of each incident by channel

| Date       | Description                                                                                       | Root Cause                                      | Duration (hours) | Start time | Payment Transactions | Impacted Channel (s)        |           |        |                            |                    |
|------------|---------------------------------------------------------------------------------------------------|-------------------------------------------------|------------------|------------|----------------------|-----------------------------|-----------|--------|----------------------------|--------------------|
|            |                                                                                                   |                                                 |                  |            |                      | Banking app / Internet Bank | ATM & PoS | Branch | Inbound/ Outbound Payments | Internal Transfers |
| 18/01/2023 | Inbound CHAPS, SWIFT, and SEPA payments not reaching accounts                                     | Technical fault in third party application      | 5hr 8min         | 10:40      | 1,100                |                             |           |        | x                          |                    |
| 19/03/2023 | Inbound Faster Payments not reaching accounts                                                     | Third party incident caused by technical change | 7hr 26min        | 09:24      | 47,000               |                             |           |        | x                          |                    |
| 25/06/2023 | Inbound and outbound Faster Payments not reaching accounts                                        | Third party incident caused by technical change | 6hr 28min        | 08:31      | 148,800              |                             |           |        | x                          |                    |
| 15/09/2023 | Outbound CHAPS, SWIFT and SEPA payments not reaching accounts (1)                                 | Technical fault in NBS application              | 1hr 20min        | 08:32      | 400                  |                             |           |        | x                          |                    |
| 21/12/2023 | Outbound faster payments not reaching accounts                                                    | Technical fault in NBS infrastructure           | 2hr 47min        | 16:37      | 184,400              |                             |           |        | x                          |                    |
| 22/12/2023 | Unable to move money between accounts                                                             | Technical fault in NBS application              | 54min            | 10:32      | 132,500              |                             |           |        |                            | x                  |
| 26/12/2023 | Unable to move money between accounts                                                             | Technical fault in NBS infrastructure           | 2hr 14min        | 13:30      | 140,500              |                             |           |        |                            | x                  |
| 06/03/2024 | Inbound and outbound CHAPS, SWIFT, and SEPA payments not reaching accounts (1)                    | Technical fault in NBS infrastructure           | 3hr 40min        | 14:18      | 200                  |                             |           |        | x                          |                    |
| 22/03/2024 | Inbound and outbound faster payments and CHAPS, SWIFT and SEPA payments not reaching accounts (2) | NBS technical change                            | 13hr 37min       | 02:17      | 457,000              |                             |           | x      | x                          |                    |
| 07/04/2024 | Inbound faster payments not reaching accounts                                                     | Technical fault in third party application      | 2hr 36min        | 19:07      | 72,200               |                             |           |        | x                          |                    |

|            |                                                                                                        |                                            |           |       |         |  |   |  |   |   |
|------------|--------------------------------------------------------------------------------------------------------|--------------------------------------------|-----------|-------|---------|--|---|--|---|---|
| 26/04/2024 | Unable to initiate an internal transfer and Faster Payments not reaching accounts                      | NBS technical change                       | 1hr 15min | 10:25 | 34,000  |  |   |  | x | x |
| 08/05/2024 | Inbound and outbound CHAPS, SWIFT, and SEPA payments not reaching accounts (1)                         | Technical fault in NBS application         | 2hr 45min | 16:07 | 300     |  |   |  | x |   |
| 30/05/2024 | Inbound Faster Payments not reaching accounts                                                          | Technical fault in third party application | 1hr 37min | 17:40 | 65,000  |  |   |  | x |   |
| 03/06/2024 | Outbound Faster Payments not reaching accounts (2)                                                     | NBS technical change                       | 7hr 22min | 20:37 | 93,000  |  |   |  | x |   |
| 02/07/2024 | Increased decline rates on Point of Sale (POS) and ATM. Outbound Faster Payments not reaching accounts | NBS technical change                       | 1hr 28min | 21:01 | 100,000 |  | x |  | x |   |
| 23/08/2024 | Inbound and outbound Faster Payments not reaching accounts                                             | NBS technical change                       | 5hr 08min | 05:09 | 295,000 |  |   |  | x |   |
| 23/09/2024 | Inbound and outbound Faster Payments not reaching accounts                                             | Technical fault in third party application | 2hr 25min | 10:06 | 58,000  |  |   |  | x |   |
| 10/11/2024 | Unable to move money between accounts                                                                  | Technical fault in NBS infrastructure      | 2hr 16min | 17:05 | 162,000 |  |   |  |   | x |

(1) = All payments processed same day

(2) = c.90% of Inbound Faster Payments were still processed